

Economics

Lecture no 1

Topic name: Introduction to Economics

Week no -1

class no -1

Defination of Economics:-

"Economics is the study of people how use limited resources to satisfy unlimited wants."

Market theory and Demand and Supply.

A market works on demand and Supply. When demand increases, price increases, and when supply increases, price decreases.

Market with the theory of give and Taken.

Market is the another name of economics.

Sides of Market:-

Two sides of market is

i) Demand $\rightarrow$ Need $\rightarrow$ Satisfaction.

ii) Supply $\rightarrow$ produce $\rightarrow$ Satisfied.

Demand (Buyers, Given)

Supply (Sellers, Taken)

Market is the place where buyers and sellers exchange goods and services.

Level of Economics:-

There are two levels of economics

National level

International level.

National level

National level economics studies economic activities within (inside) a country.

It includes households, firms, industries, and the government of one country.

International level:-

International level economic study economic activities between different countries (out of country)

It includes trade (imports and exports) exchange rates, and international markets.

Money:-

Money is anything that is generally accepted as a medium of exchange.

Used:-

It is used to.

- Buy goods
- Pay for services
- Measure value.

Without money trades become difficult.

Goods and Services

Goods are physical products

Services are non-physical activities.

physical products that we can see and touch like books and mobiles

Non-physical activities like teaching and medical treatment.

GDP

GDP stands for Gross Domestic product.

It is the total value of goods and services produced in a country in a one year. GDP shows the economic strength of country.